

STATE OF OKLAHOMA

1st Session of the 60th Legislature (2025)

HOUSE BILL 2228

By: Munson

AS INTRODUCED

An Act relating to revenue and taxation; amending 68 O.S. 2021, Section 5011, which relates to eligibility for computation within the Sales Tax Relief Act; modifying references to income amounts; prescribing credit based upon income and certain other qualifying features; providing for credit phase out; providing an effective date; and declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 68 O.S. 2021, Section 5011, is amended to read as follows:

Section 5011. A. Except as otherwise provided by this section, beginning with the calendar year 1990 and for each calendar year through 1998, and for calendar year 2003, any individual who is a resident of and is domiciled in this state during the entire calendar year for which the filing is made and whose gross household income for such year does not exceed Twelve Thousand Dollars (\$12,000.00) may file a claim for sales tax relief.

B. ~~For calendar years 1999, 2002 and 2004, any individual who is a resident of and is domiciled in this state during the entire~~

~~calendar year for which the filing is made may file a claim for sales tax relief if the gross household income for such year does not exceed the following amounts:~~

~~1. For an individual not subject to the provisions of paragraph 2 of this subsection and claiming no allowable personal exemption other than the allowable personal exemption for that individual or the spouse of that individual, Fifteen Thousand Dollars (\$15,000.00); or~~

~~2. For an individual claiming one or more allowable personal exemptions other than the allowable personal exemption for that individual or the spouse of that individual, an individual with a physical disability constituting a substantial handicap to employment, or an individual who is sixty-five (65) years of age or older at the close of the tax year, Thirty Thousand Dollars (\$30,000.00).~~

~~C. For calendar years 2000, 2001, 2005 and following, an individual who is a resident of and is domiciled in this state during the entire calendar year for which the filing is made may file a claim for sales tax relief if the gross household income for such year does not exceed the following amounts:~~

~~1. For an individual not subject to the provisions of paragraph 2 of this subsection and claiming no allowable personal exemption other than the allowable personal exemption for that individual or~~

1 ~~the spouse of that individual, Twenty Thousand Dollars (\$20,000.00);~~
2 ~~or~~

3 ~~2. For an individual claiming one or more allowable personal~~
4 ~~exemptions other than the allowable personal exemption for that~~
5 ~~individual or the spouse of that individual, an individual with a~~
6 ~~physical disability constituting a substantial handicap to~~
7 ~~employment, or an individual who is sixty-five (65) years of age or~~
8 ~~older at the close of the tax year, Fifty Thousand Dollars~~
9 ~~(\$50,000.00).~~

10 ~~D.~~ The amount of the claim filed pursuant to the Sales Tax
11 Relief Act shall be ~~Forty Dollars (\$40.00)~~ based on the following
12 categories and amounts, multiplied by the number of allowable
13 personal exemptions.:

<u>FILING</u>	<u>SINGLE</u>	<u>65 OR</u>	<u>DISABLED</u>	<u>DEPENDENTS</u>
<u>CATEGORY</u>	<u>ADULT</u>	<u>OLDER</u>		
<u>Gross</u>				
<u>Household</u>	<u>Credit</u>	<u>Credit</u>	<u>Credit</u>	<u>Credit</u>
<u>Income</u>	<u>Amount</u>	<u>Amount</u>	<u>Amount</u>	<u>Amount</u>
<u>30,000 or less</u>	<u>\$200.00</u>	<u>\$200.00</u>	<u>\$200.00</u>	<u>\$200.00</u>
<u>30,001-34,999</u>	<u>\$200.00</u>	<u>\$200.00</u>	<u>\$200.00</u>	<u>\$200.00</u>
<u>35,000-39,999</u>	<u>\$200.00</u>	<u>\$200.00</u>	<u>\$200.00</u>	<u>\$200.00</u>
<u>40,000-44,999</u>	<u>\$200.00</u>	<u>\$200.00</u>	<u>\$200.00</u>	<u>\$200.00</u>
<u>45,000-49,999</u>	<u>\$200.00</u>	<u>\$200.00</u>	<u>\$200.00</u>	<u>\$200.00</u>
<u>50,000-54,999</u>	<u>\$200.00</u>	<u>\$200.00</u>	<u>\$200.00</u>	<u>\$200.00</u>

1	<u>55,000-59,999</u>	<u>\$200.00</u>	<u>\$200.00</u>	<u>\$200.00</u>	<u>\$200.00</u>
2	<u>60,000 and over</u>	<u>\$200.00</u>	<u>\$200.00</u>	<u>\$200.00</u>	<u>\$200.00</u>

3 As used in the Sales Tax Relief Act, "allowable personal
4 exemption" means a personal exemption to which the taxpayer would be
5 entitled pursuant to the provisions of the Oklahoma Income Tax Act,
6 except for:

7 1. The exemptions such taxpayer would be entitled to pursuant
8 to Section 2358 of this title if such taxpayer or spouse is blind or
9 sixty-five (65) years of age or older at the close of the tax year;

10 2. An exemption for a person convicted of a felony if during
11 all or any part of the calendar year for which the claim is filed
12 such person was an inmate in the custody of the Department of
13 Corrections; or

14 3. An exemption for a person if during all or any part of the
15 calendar year for which the claim is filed such person resided
16 outside of this state.

17 C. 1. If the gross household income exceeds Seventy-Five
18 Thousand Dollars (\$75,000.00), the credit amount provided for in
19 subsection B of this section shall be reduced by 1.1429% for the
20 first dependent claimed, and an additional .5714% for each dependent
21 claimed thereafter;

22 2. If the gross household income exceeds Seventy-Five Thousand
23 Dollars (\$75,000.00), and the taxpayer is sixty-five (65) years of
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1 age or older, the credit amount provided for in subsection B of this
2 section shall be reduced by .5714%;

3 3. If the gross household income exceeds Seventy-Five Thousand
4 Dollars (\$75,000.00), and the taxpayer is disabled, the credit
5 amount provided for in subsection B of this section shall be reduced
6 by .5714%; and

7 4. If the gross household income exceeds Fifty-Five Thousand
8 Dollars (\$55,000.00), and the taxpayer is filing individually, the
9 credit amount provided for in subsection B of this section shall be
10 reduced by 1%.

11 ~~E.~~ D. A person convicted of a felony shall not be permitted to
12 file a claim for sales tax relief pursuant to the provisions of
13 Sections 5010 through 5016 of this title for the period of time
14 during which the person is an inmate in the custody of the
15 Department of Corrections. Such period of time shall include the
16 entire calendar year if the person is in the custody of the
17 Department of Corrections during any part of the calendar year. The
18 provisions of this subsection shall not prohibit all other members
19 of the household of an inmate from filing a claim based upon the
20 personal exemptions to which the household members would be entitled
21 pursuant to the provisions of the Oklahoma Income Tax Act.

22 ~~F.~~ E. The Department of Corrections shall withhold up to fifty
23 percent (50%) of any money inmates receive for claims made pursuant
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1 to the Sales Tax Relief Act prior to September 1, 1991, for costs of
2 incarceration.

3 ~~G.~~ F. For purposes of Section 139.105 of Title 17 of the
4 Oklahoma Statutes, the gross household income of any individual who
5 may file a claim for sales tax relief shall not exceed Twelve
6 Thousand Dollars (\$12,000.00).

7 SECTION 2. This act shall become effective July 1, 2025.

8 SECTION 3. It being immediately necessary for the preservation
9 of the public peace, health or safety, an emergency is hereby
10 declared to exist, by reason whereof this act shall take effect and
11 be in full force from and after its passage and approval.

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13 60-1-11081 AO 01/15/25
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